Paragraph 1. Introduction

The U.S. Securities and Exchange Commission (SEC) publishes guidance to clarify its expectations for trade-reporting obligations under the Dodd-Frank Act. This document consolidates frequently asked questions (FAQs) and provides illustrative examples for market participants.

Paragraph 2. Counterparty Identification Requirement

All OTC derivative trades must include a Counterparty_LEI when the counterparty is a legal entity that has obtained a LEI from an accredited GLEIF Local Operating Unit. If a counterparty is not LEI-registered, the reporting firm must provide a unique internal identifier and retain supporting documentation for inspection.

Paragraph 3. Price Field Validation

The `Price` field must be a non-negative decimal number with up to six decimal places for high-precision instruments (e.g., interest-rate swaps). A negative price or a price exceeding the instrument's theoretical maximum will cause the trade report to be rejected with error code SEC-R01.

Paragraph 4. Timing of Reporting

Reporting firms must submit the trade report to the SEC's Electronic Data Gathering, Analysis, and Retrieval system (EDGAR) within 15 minutes of execution for standardised swaps. For non-standardised swaps, the deadline is one business day. Late submissions are subject to a civil penalty of up to USD 10,000 per trade.

Paragraph 5. Mandatory Fields for All Trades

The following fields are mandatory for every trade: Trade_ID, Asset_Class, Execution_Timestamp, Counterparty_LEI (or internal identifier), Price, Quantity, Currency, and `Trade_Type` (e.g., "Swap", "Future", "Option").

Paragraph 6. Record Retention

All trade-reporting records, including raw reports, confirmation documents, and any amendment files, must be retained for at least seven (7) years. Records must be stored in a format that allows electronic retrieval and inspection by the SEC.

Paragraph 7. Frequently Asked Question – “Do I need a LEI for an individual trader?”

Answer: No. The LEI requirement applies only to legal entities (corporations, partnerships, government bodies). Individual natural-person traders may be identified using a Social Security Number (SSN) or an alternative internal identifier, provided that the identifier is unique within the reporting firm’s system.

Paragraph 8. New Requirement – Swap Identifier (v2.0)

Effective 1 January 2024, every swap report must contain the field `Swap_Identifier`, a unique 12-character alphanumeric code assigned by the SEC’s Trade Repository. The identifier must be included in all subsequent amendment or cancellation messages for the same swap. Failure to provide a valid `Swap_Identifier` will result in rejection under error code SEC-R02.